BERNSTEIN
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Asian Industrial Technology

## FANUC Corp

Rating

**Outperform**

Price Target

**6954.JP** **7,000.00 JPY** (7,200.00 *OLD*)

# FANUC: The upcycle continues to accelerate

FANUC's 2Q FY3/27 revenue and operating profit exceeded consensus by 0.8% and 14.2%, with gross margin and OP margin reaching 42.3% and 26.0%. Supported by exceedingly strong orders, the company raised its FY3/27 guidance.

Order growth accelerated from 36.9% to 49.1%. Strength was particularly evident in FA (+130.1%) and Robomachine (+72.3%), driven by robust AI data center and semiconductor demand, especially in Asia, humanoid robot related investment in China, and recovering automotive investments in Japan and the U.S.

Component shortages persist across memory, PCBs, cables, connectors, and mechanical parts, resulting in extended delivery lead time and an unprecedented gap between order and revenue growth (Exhibit 2). There has been a notable negative impact on FANUC's market share in China due to the supply constraint (Exhibit 16), but management and we both view the trend as temporary.

FANUC's OP margin improved to 26%, thanks to high factory utilization and the increased contribution from the high margin FA segment. The guidance, with slightly lower margins in 2H vs. 1H, baked in higher component costs due to tight supply.

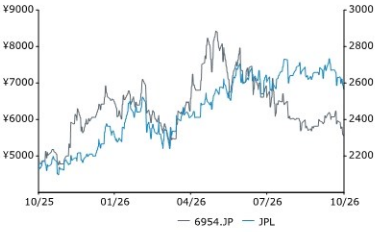
Overall, the strength and durability of the current upcycle exceeded our original expectations. Management expects supply conditions and lead times to improve from next quarter. However, this may prove double-edged: to further push up revenue growth but bring down new orders levels. We raise our estimates but lower the target multiple to account for the fact that we are 2-3 quarters from the global FA peak growth.

| | |
|---|---|
| Close Date | 23 Oct 2026 |
| 6954.JP Close Price (JPY) | 5,587.00 |
| Price Target (JPY) | 7,000.00 |
| Upside/(Downside) | 25% |
| 52-Week Range | 8,880.00/4,761.00 |
| JPL | 2,572.49 |
| FYE | Mar |
| Div Yield | 2.3% |
| Market Cap (JPY) (B) | 5,487.96 |
| EV (JPY) (B) | 4,759.77 |

| Performance | YTD | 1M | 6M | 12M |
|---|---|---|---|---|
| Absolute (%) | (8.2) | (7.2) | (10.7) | 14.4 |
| JPL (%) | 16.6 | (4.2) | 6.5 | 21.4 |
| Relative (%) | (24.8) | (3.0) | (17.2) | (6.9) |

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR




### Investment Implications

Reiterate OP. We lower PT to JPY 7,000 from 7,200 by applying a 18.8x EV/EBITDA multiple to 1-yr fwd EBITDA est. of JPY 298 Bn (was 23x to JPY 255 Bn). PT date rolled to Dec. 2027.

| Reported EPS | F26A | F27E | F28E |
|---|---|---|---|
| 6954.JP (JPY) | 178.47 | **251.30** | **276.25** |
| *OLD* | -- | 221.78 | 207.13 |

| Financials | F26A | F27E | F28E | CAGR |
|---|---|---|---|---|
| Revenues (M) | 857,831 | 1,028* | 1,142* | 15.4% |
| EBITDA (M) | 233,829 | 296,331 | 326,492 | 18.2% |
| Gross Margin (%) | 38.3 | 40.1 | 40.4 | -- |
| Operating Margin (%) | 21.4 | 24.0 | 24.4 | -- |
| Net Income Margin (%) | 19.4 | 22.7 | 22.4 | -- |
| ROIC (%) | 13.6 | 17.9 | 19.1 | -- |
| ROE (%) | 9.4 | 12.4 | 12.9 | -- |

| Valuation Metrics | F26A | F27E | F28E |
|---|---|---|---|
| Reported P/E (x) | 31.3 | 22.2 | 20.2 |
| PEG Reported (x) | 2.3 | 0.5 | 2.0 |
| EV/Sales (x) | 5.5 | 4.6 | 4.2 |
| EV/EBITDA (x) | 20.4 | 16.1 | 14.6 |
| Adjusted P/E (x) | 31.3 | 22.2 | 20.2 |
| PEG Adjusted (x) | 2.3 | 0.5 | 2.0 |
| EV/FCF (x) | 23.7 | 45.7 | 24.2 |

*Values shown in billions;Source: Bloomberg, Bernstein estimates and analysis.

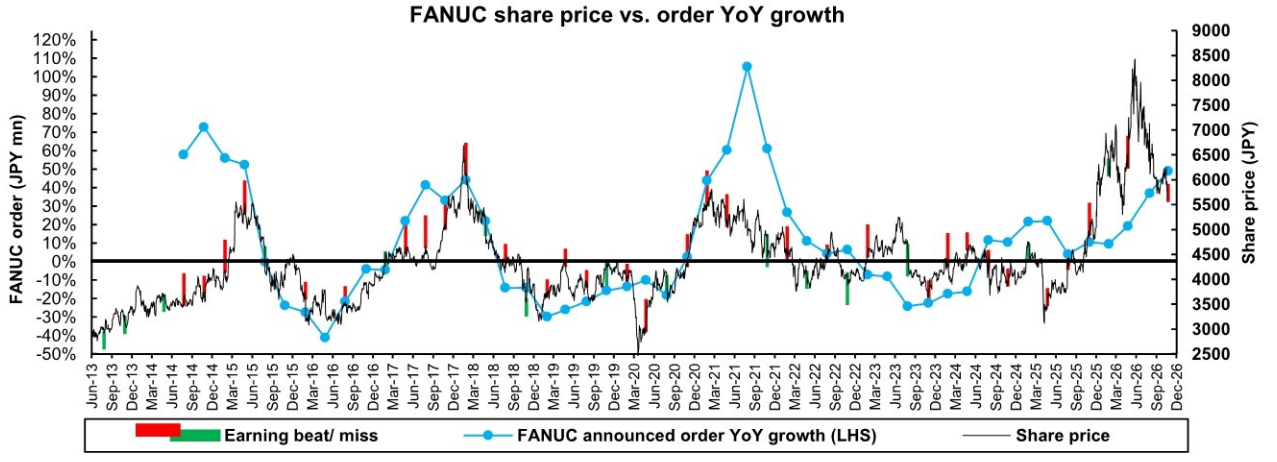

**See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.**



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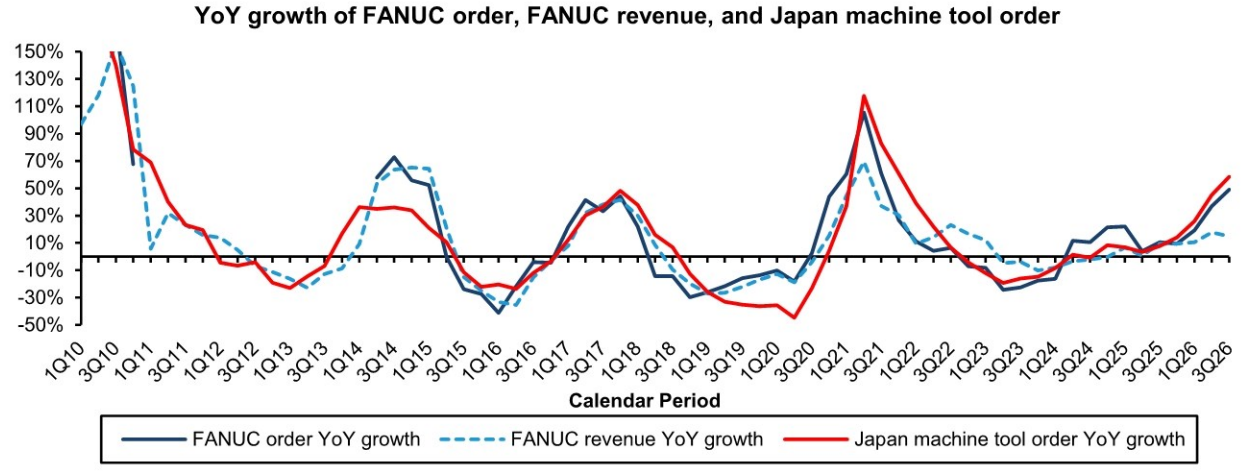
## DETAILS

EXHIBIT 1: **FANUC's overall share price trend is driven by its order growth**




Note: We define actual results (revenue and operating profit) that are more than 2.5% above or below consensus estimates as a beat or miss. Beats are shown with red bars, while misses are shown with green bars. When both revenue and operating profit beat (or miss) consensus, the bar length is twice that of a single beat or miss.
Source: Bloomberg, FANUC, Bernstein analysis

EXHIBIT 2: **Japan machine tool order remains the best cyclical indicator for FANUC**




Source: Bloomberg, JMTBA, Bernstein analysis

EXHIBIT 3: **FANUC 2Q FY3/27 results vs. consensus/Bernstein estimation**

| JPY Mn | Actual | | | | | Consensus | | Bernstein | |
|---|---|---|---|---|---|---|---|---|---|
| | 2Q FY3/27 | 2Q FY3/26 | YoY | 1Q FY3/27 | QoQ | 2Q FY3/27 | Actual vs. Consensus | 2Q FY3/27 | Actual vs. Bernstein |
| **Revenue** | **242,673** | **211,205** | **14.9%** | **231,035** | **5.0%** | **240,784** | **0.8%** | **242,201** | **0.2%** |
| **Gross profit** | **102,600** | **79,001** | **29.9%** | **91,094** | **12.6%** | **94,780** | **8.3%** | **94,458** | **8.6%** |
| *Gross margin* | *42.3%* | *37.4%* | *487bps* | *39.4%* | *285bps* | *39.4%* | *292bps* | *39.0%* | *328bps* |
| **Operating income** | **63,170** | **43,536** | **45.1%** | **53,492** | **18.1%** | **55,315** | **14.2%** | **54,011** | **17.0%** |
| *Operating margin* | *26.0%* | *20.6%* | *542bps* | *23.2%* | *288bps* | *23.0%* | *306bps* | *22.3%* | *373bps* |
| **Attributable net income** | **61,595** | **41,976** | **46.7%** | **50,981** | **20.8%** | **50,951** | **20.9%** | **50,266** | **22.5%** |
| *Net income margin* | *25.4%* | *19.9%* | *551bps* | *22.1%* | *332bps* | *21.2%* | *422bps* | *20.8%* | *463bps* |

Source: company reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 4: **FANUC FY3/2027 new guidance**

| JPY Mn | FY3/2027 | | | | | | |
|---|---|---|---|---|---|---|---|
| | Guidance | FY3/2026 | YoY | Consensus | vs. Consensus | Bernstein | vs. Bernstein |
| **Revenue** | **1,013,700** | **857,831** | 18.2% | **971,870** | 4.3% | **969,022** | 4.6% |
| **Gross profit** | **404,400** | **328,466** | 23.1% | **388,260** | 4.2% | **378,843** | 6.7% |
| *Gross margin* | 39.9% | *38.3%* | *160bps* | *39.9%* | *-6bps* | *39.1%* | *80bps* |
| **Operating income** | **240,700** | **183,763** | 31.0% | **228,748** | 5.2% | **221,468** | 8.7% |
| *Operating margin* | 23.7% | *21.4%* | *232bps* | *23.5%* | *21bps* | *22.9%* | *89bps* |
| **Attributable net income** | **228,300** | **166,543** | 37.1% | **205,739** | 11.0% | **206,955** | 10.3% |
| *Net margin* | 22.5% | *19.4%* | *311bps* | *21.2%* | *135bps* | *21.4%* | *116bps* |

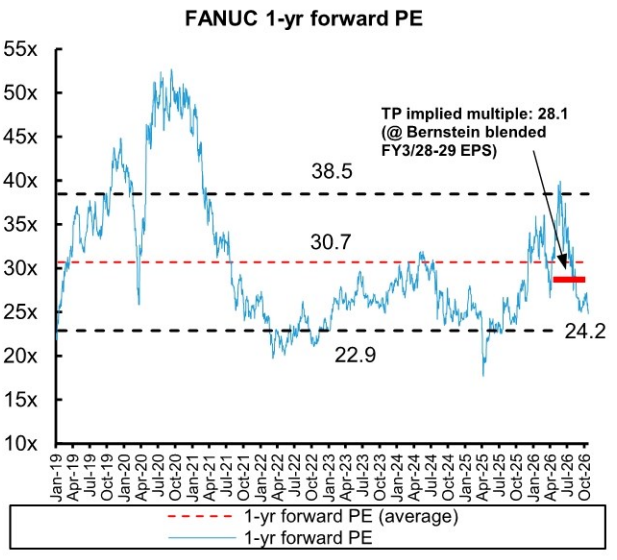
Note: The currency rate applied to the FY3/27 is expected to average at 154.69 yen/US dollar and 179.68 yen/Euro by FANUC.
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 5: **FANUC 2H FY3/2027 guidance (implied by full-year guidance)**

| JPY Mn | 1H FY3/2027 | | | | | 2H FY3/2027 | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | Guidance | 1H FY3/2026 | YoY | Actual | Actual vs. Guidance | Implied by Guidance | 2H FY3/2026 | YoY | Consensus | vs. Consensus |
| **Revenue** | **466,000** | **407,568** | **14.3%** | **473,708** | **1.7%** | **539,992** | **450,263** | **19.9%** | **500,521** | **7.9%** |
| **Operating income** | **104,400** | **85,964** | **21.4%** | **116,662** | **11.7%** | **124,038** | **97,799** | **26.8%** | **118,963** | **4.3%** |
| *Operating margin* | *22.4%* | *21.1%* | *131bps* | *24.6%* | *222bps* | 23.0% | *21.7%* | *125bps* | *23.8%* | *-80bps* |
| **Attributable net income** | **100,300** | **79,820** | **25.7%** | **112,576** | **12.2%** | **115,724** | **86,723** | **33.4%** | **104,847** | **10.4%** |
| *Net margin* | 21.5% | *19.6%* | *194bps* | *23.8%* | *224bps* | 21.4% | *19.3%* | *217bps* | *20.9%* | *48bps* |

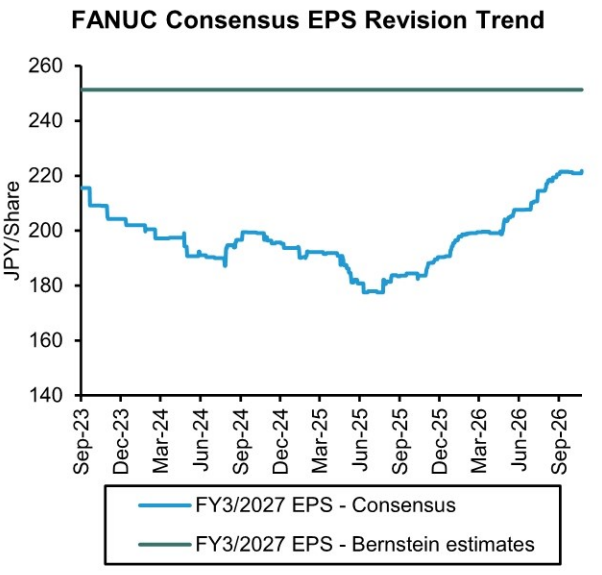
Note: The currency rate applied to the FY3/27 is expected to average at 154.69 yen/US dollar and 179.68 yen/Euro by FANUC.
Source: company reports, Bloomberg, Bernstein analysis

EXHIBIT 6: **FANUC valuation: 1-yr forward P/E ratio**



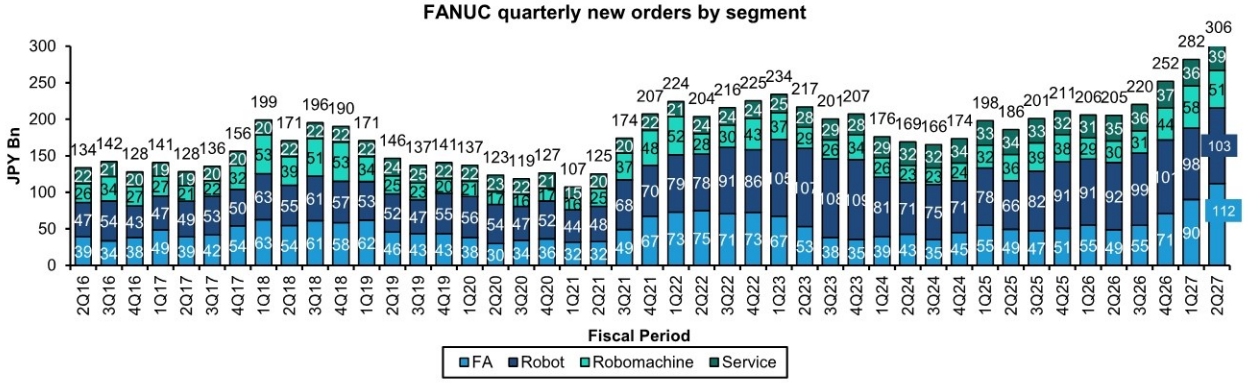

Source: Bloomberg, Bernstein analysis

EXHIBIT 7: **FANUC consensus FY3/27 EPS**



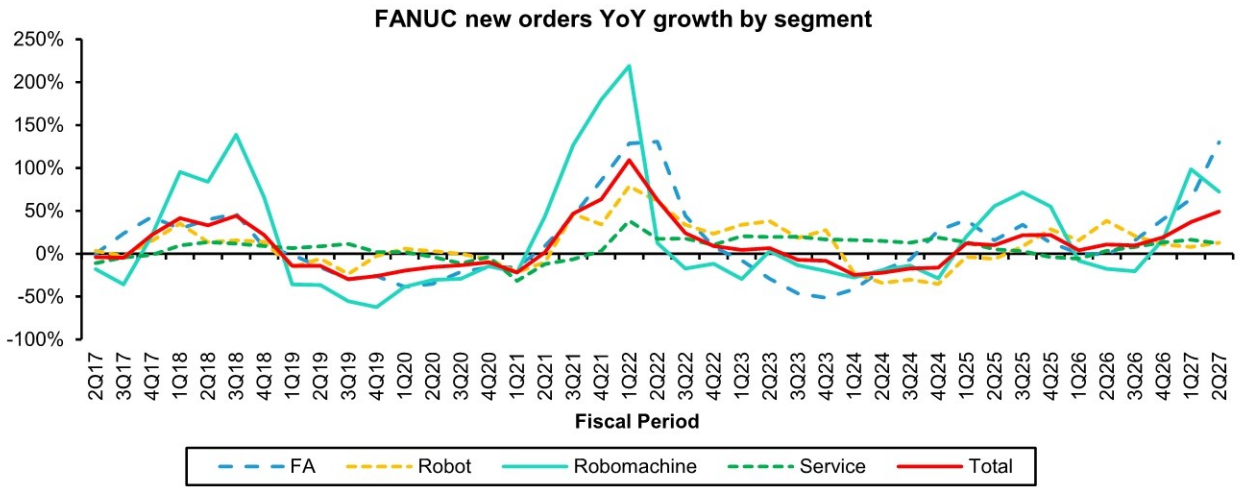

Source: Bloomberg, Bernstein analysis and estimates

EXHIBIT 8: **FANUC quarterly new orders by segment**



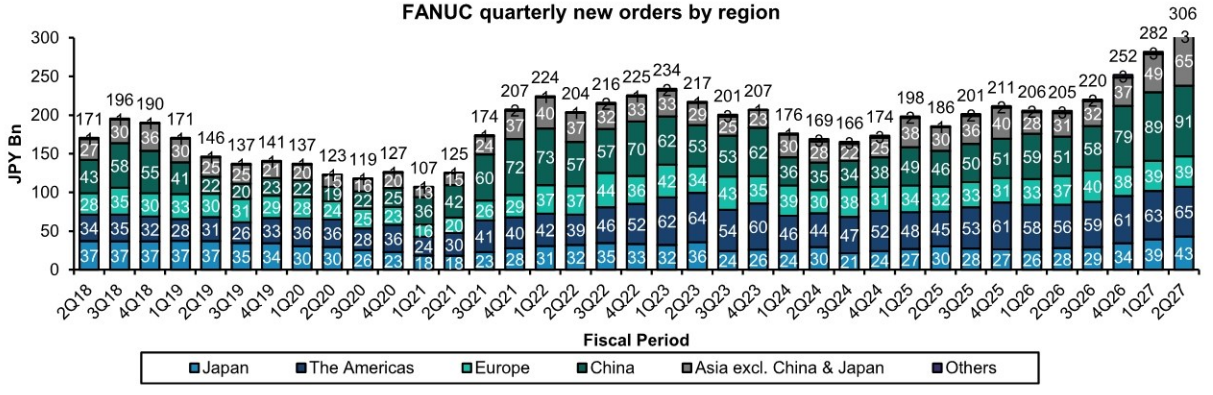

Source: company reports, Bernstein analysis

EXHIBIT 9: **FANUC new orders YoY growth by segment**



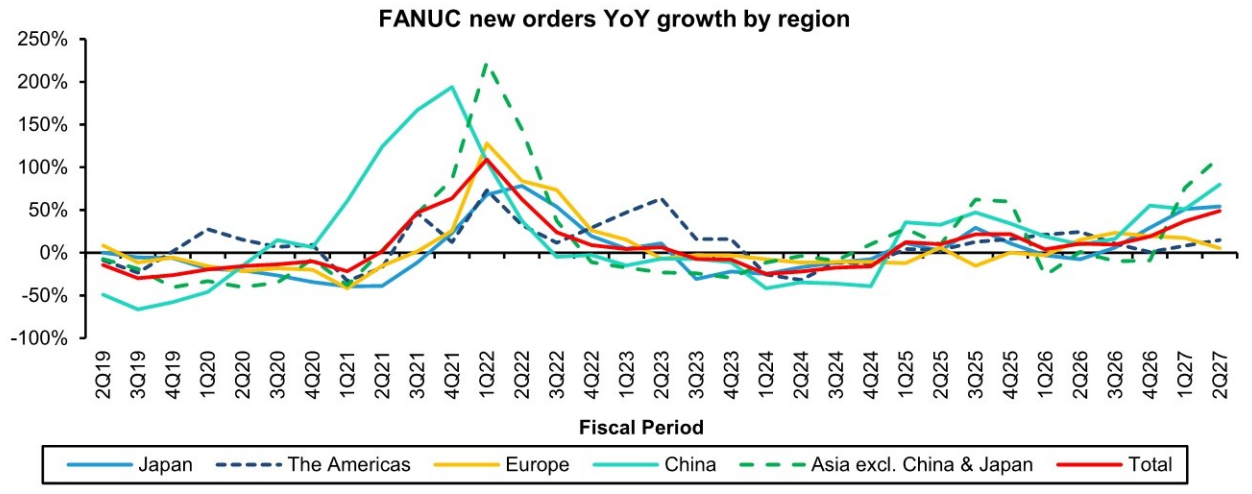

Source: company reports, Bernstein analysis

EXHIBIT 10: **FANUC new orders trend by region**




Source: company reports, Bernstein analysis

EXHIBIT 11: **FANUC new orders YoY growth by region**



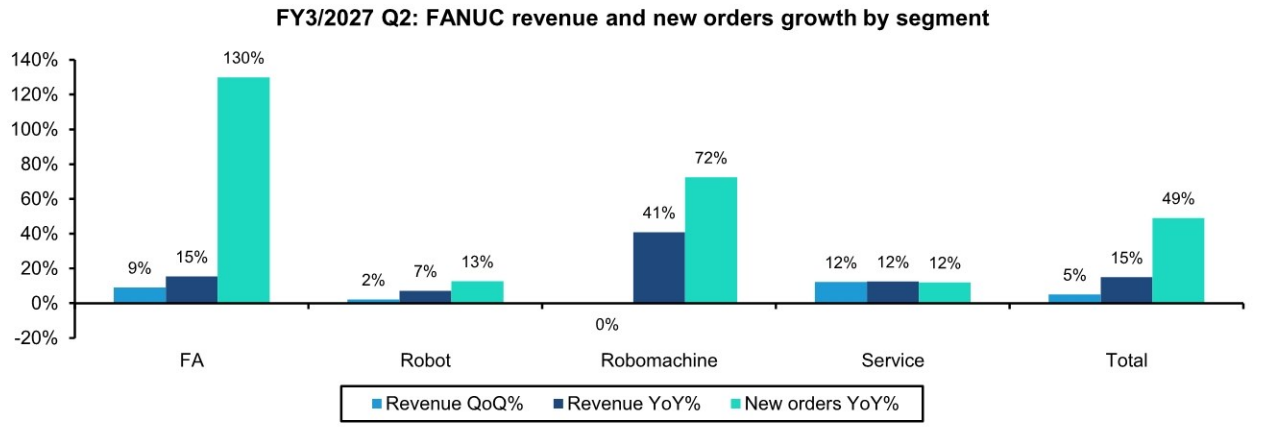

Source: company reports, Bernstein analysis

EXHIBIT 12: **FANUC revenue growth matrix**

| Calendar perido, YoY growth | | 2Q20 | 3Q20 | 4Q20 | 1Q21 | 2Q21 | 3Q21 | 4Q21 | 1Q22 | 2Q22 | 3Q22 | 4Q22 | 1Q23 | 2Q23 | 3Q23 | 4Q23 | 1Q24 | 2Q24 | 3Q24 | 4Q24 | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 1Q26 | 2Q26 | 3Q26 | 4Q26 | 1Q27 | 2Q27 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Fiscal period, YoY growth | | 1Q21 | 2Q21 | 3Q21 | 4Q21 | 1Q22 | 2Q22 | 3Q22 | 4Q22 | 1Q23 | 2Q23 | 3Q23 | 4Q23 | 1Q24 | 2Q24 | 3Q24 | 4Q24 | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 1Q26 | 2Q26 | 3Q26 | 4Q26 | 1Q27 | 2Q27 | | | |
| FA | Japan | -35% | -48% | -28% | 2% | 18% | 68% | 80% | 50% | 54% | 38% | 11% | -3% | -24% | -33% | -38% | -34% | -17% | 8% | 12% | -5% | 8% | 4% | 10% | 37% | 10% | 8% | | | |
| | Europe | -47% | -39% | -21% | 0% | 78% | 105% | 91% | 41% | 15% | 46% | 20% | 29% | 64% | -7% | 0% | -26% | -44% | -34% | -43% | -22% | -16% | 3% | 10% | 28% | 25% | 16% | | | |
| | Americas | -25% | -18% | 11% | 10% | -11% | 33% | 0% | 18% | 163% | 67% | 90% | 38% | -33% | -15% | -21% | -17% | 7% | -18% | -7% | 7% | -27% | -14% | 7% | 0% | 45% | 25% | | | |
| | China | 29% | 178% | 84% | 70% | 42% | 13% | 30% | 35% | -8% | 19% | -6% | -17% | -41% | -57% | -47% | 1% | 63% | 133% | 81% | 12% | 12% | 14% | 6% | 14% | 22% | 25% | | | |
| | Asia ex. China and Japan | -31% | -15% | 26% | 38% | 94% | 112% | 80% | 43% | 40% | 11% | 1% | -11% | -29% | -23% | -30% | -24% | -14% | -4% | 3% | 3% | -1% | -1% | -6% | 4% | 7% | 6% | | | |
| | **All region** | **-20%** | **-2%** | **15%** | **31%** | **50%** | **59%** | **59%** | **41%** | **26%** | **23%** | **4%** | **-7%** | **-24%** | **-33%** | **-34%** | **-20%** | **-3%** | **19%** | **16%** | **2%** | **4%** | **5%** | **4%** | **16%** | **15%** | **15%** | | |
| Robot | Japan | -46% | -49% | -45% | -25% | 0% | 29% | 33% | 21% | 5% | -4% | 2% | 17% | 11% | 16% | 31% | -2% | 12% | 29% | 8% | 7% | -16% | -25% | -10% | 3% | 11% | 23% | | | |
| | Europe | -35% | 0% | -16% | 9% | 61% | 26% | 27% | 23% | 11% | 20% | 36% | 36% | 30% | 27% | 17% | 20% | 10% | -12% | -29% | -33% | -21% | -3% | 36% | 45% | 11% | 4% | | | |
| | Americas | -10% | -2% | -4% | 33% | 44% | 7% | 36% | 7% | 59% | 40% | 22% | 28% | 10% | 24% | 21% | 25% | 14% | -9% | -19% | -20% | -21% | 22% | 12% | 35% | 21% | 12% | | | |
| | China | 57% | 10% | 70% | 87% | 43% | 79% | 61% | -9% | 49% | 40% | 25% | 75% | 23% | 0% | -39% | -62% | -62% | -55% | -18% | 57% | 89% | 87% | 47% | 35% | 21% | -14% | | | |
| | Asia ex. China and Japan | -42% | -19% | 39% | 48% | 100% | 76% | 3% | -3% | -17% | 10% | 15% | 21% | 72% | 58% | 42% | -10% | -16% | 27% | -13% | 119% | 14% | -38% | 21% | -49% | 29% | 66% | | | |
| | **All region** | **-14%** | **-8%** | **3%** | **33%** | **45%** | **32%** | **39%** | **6%** | **37%** | **30%** | **24%** | **42%** | **20%** | **18%** | **2%** | **-9%** | **-13%** | **-18%** | **-19%** | **-4%** | **-4%** | **16%** | **22%** | **25%** | **19%** | **7%** | | |
| Robomachine | Japan | -35% | -62% | -43% | 0% | 23% | 111% | 68% | 38% | 11% | 5% | 17% | -9% | -27% | -28% | -39% | -23% | -10% | -3% | 17% | 10% | -11% | -29% | -17% | -12% | 21% | 110% | | | |
| | Europe | -39% | -20% | -9% | 19% | 48% | 58% | 109% | 50% | 51% | 34% | -4% | -5% | -13% | 6% | -9% | 0% | -6% | -30% | -24% | -13% | -11% | 8% | -9% | -13% | 2% | -2% | | | |
| | Americas | -31% | -42% | 22% | 10% | 61% | 93% | 27% | 41% | 28% | 10% | -7% | -42% | -65% | -44% | -54% | 17% | 38% | -22% | 42% | -10% | 28% | 129% | 18% | -11% | 0% | -19% | | | |
| | China | 31% | 239% | 354% | 6350% | 375% | -13% | -53% | -29% | -42% | 16% | 41% | -32% | -46% | -35% | -42% | -15% | 35% | 55% | 81% | 29% | -21% | -8% | 17% | 5% | 59% | 74% | | | |
| | Asia ex. China and Japan | -32% | -49% | -4% | 6% | 94% | 157% | 65% | -55% | -18% | -10% | 7% | 24% | -12% | 6% | 57% | 13% | -4% | 14% | 54% | 294% | 195% | 27% | -41% | -55% | -1% | 16% | | | |
| | **All region** | **-17%** | **13%** | **83%** | **158%** | **189%** | **32%** | **-10%** | **-19%** | **-24%** | **11%** | **18%** | **-19%** | **-37%** | **-19%** | **-23%** | **-5%** | **15%** | **11%** | **40%** | **65%** | **16%** | **6%** | **-8%** | **-26%** | **23%** | **41%** | | |
| Service | Japan | -10% | -8% | -9% | 2% | 11% | 7% | 6% | 2% | 2% | 2% | 4% | 0% | 12% | 12% | 18% | 17% | 5% | 6% | 6% | 0% | 7% | 1% | 1% | 8% | -2% | 3% | | | |
| | Europe | -34% | -11% | 0% | 7% | 62% | 28% | 21% | 19% | 16% | 9% | 16% | 20% | 15% | 23% | 19% | 14% | 18% | 7% | -3% | -4% | -7% | 4% | 16% | 18% | 9% | 8% | | | |
| | Americas | -43% | -18% | -9% | -5% | 46% | 23% | 19% | 22% | 41% | 38% | 38% | 25% | 20% | 18% | 11% | 16% | 16% | 1% | 3% | -2% | -13% | 2% | 5% | 9% | 25% | 21% | | | |
| | China | 67% | 0% | 0% | 100% | -10% | 80% | 0% | -50% | -33% | -11% | 40% | 75% | 133% | -63% | 29% | -14% | -36% | 133% | -44% | -17% | 0% | 14% | 40% | 80% | 0% | 38% | | | |
| | Asia ex. China and Japan | -38% | -12% | 36% | 7% | 40% | 27% | 27% | 20% | 43% | 16% | 16% | 11% | 5% | 9% | 14% | 20% | 10% | 0% | 4% | -4% | 4% | 8% | 0% | 9% | 4% | 12% | | | |
| | **All region** | **-30%** | **-12%** | **-6%** | **3%** | **36%** | **20%** | **17%** | **13%** | **21%** | **18%** | **22%** | **18%** | **19%** | **15%** | **14%** | **18%** | **12%** | **5%** | **2%** | **-4%** | **-6%** | **3%** | **7%** | **13%** | **13%** | **13%** | | | |
| Company total | Japan | -34% | -43% | -30% | -5% | 14% | 45% | 50% | 32% | 29% | 17% | 9% | 0% | -14% | -15% | -18% | -17% | -6% | 11% | 10% | 1% | 0% | -7% | 0% | 15% | 8% | 17% | | | |
| | Europe | -37% | -11% | -12% | 9% | 61% | 37% | 44% | 29% | 18% | 23% | 21% | 24% | 24% | 17% | 11% | 9% | 0% | -13% | -24% | -23% | -16% | 1% | 22% | 27% | 11% | 6% | | | |
| | Americas | -23% | -10% | -3% | 20% | 44% | 16% | 31% | 13% | 54% | 38% | 25% | 23% | 5% | 16% | 13% | 21% | 15% | -7% | -12% | -15% | -18% | 18% | 10% | 25% | 22% | 13% | | | |
| | China | 39% | 102% | 133% | 205% | 118% | 23% | 5% | -8% | -12% | 26% | 17% | 10% | -16% | -27% | -41% | -36% | -18% | 5% | 28% | 31% | 21% | 26% | 23% | 20% | 30% | 21% | | | |
| | Asia ex. China and Japan | -33% | -23% | 23% | 26% | 91% | 106% | 60% | 7% | 21% | 7% | 4% | -2% | -17% | -8% | -5% | -14% | -11% | 5% | 13% | 78% | 36% | -2% | -13% | -31% | 7% | 17% | | | |
| | **All region** | **-19%** | **-4%** | **15%** | **45%** | **70%** | **37%** | **30%** | **9%** | **14%** | **23%** | **17%** | **12%** | **-5%** | **-4%** | **-10%** | **-8%** | **-3%** | **-2%** | **0%** | **7%** | **1%** | **9%** | **9%** | **11%** | **18%** | **15%** | | |

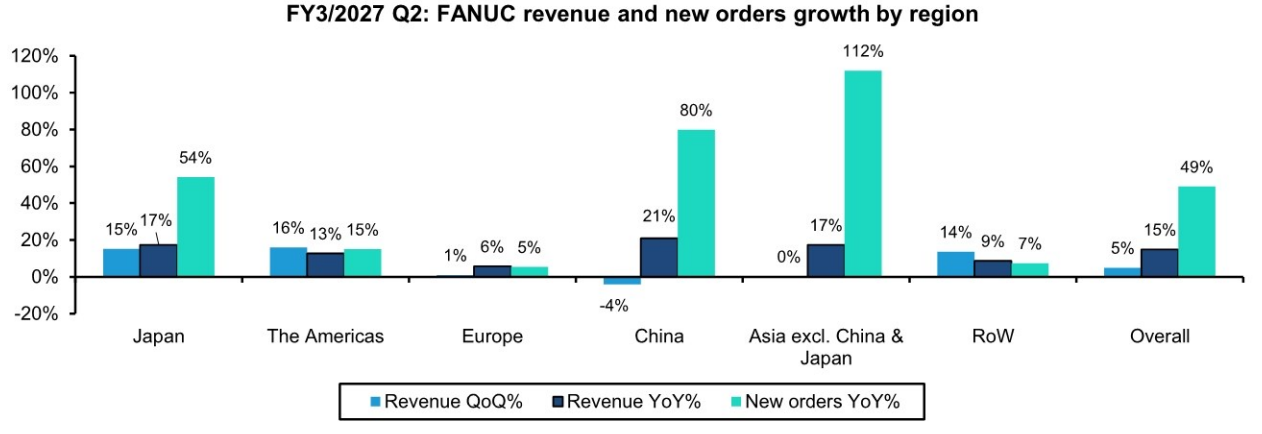
Source: company reports, Bernstein analysis

EXHIBIT 13: **FANUC 2Q FY3/27 revenue and orders YoY growth by segment**



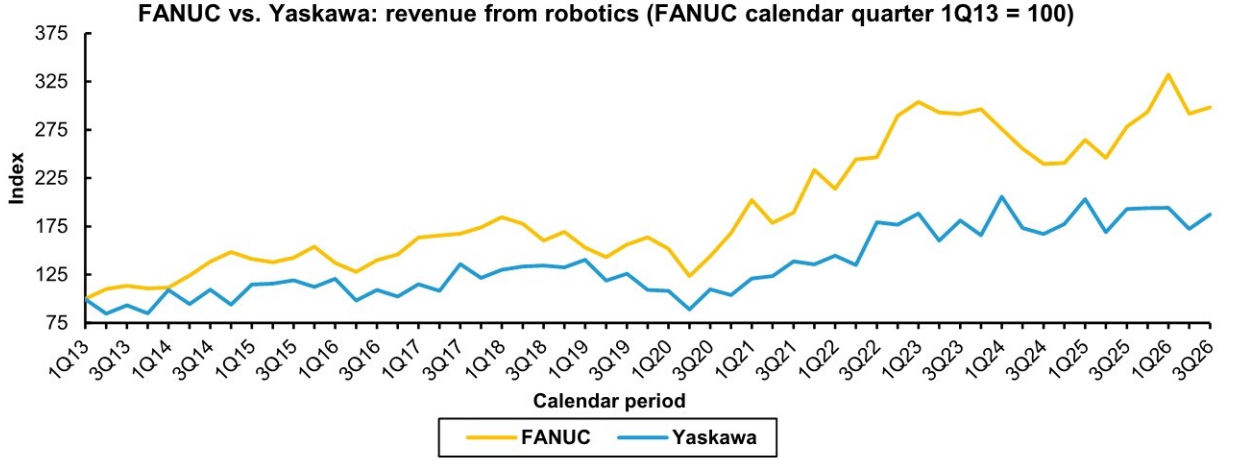

Source: company reports, Bernstein analysis

EXHIBIT 14: **FANUC 2Q FY3/27 revenue and orders YoY growth by region**



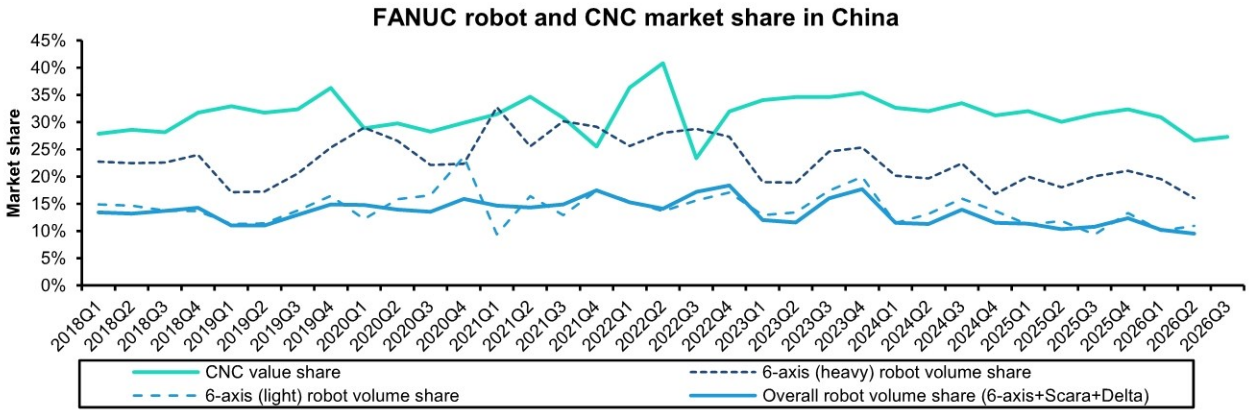

Source: company reports, Bernstein analysis

EXHIBIT 15: **FANUC has outperformed Yaskawa in robotics**



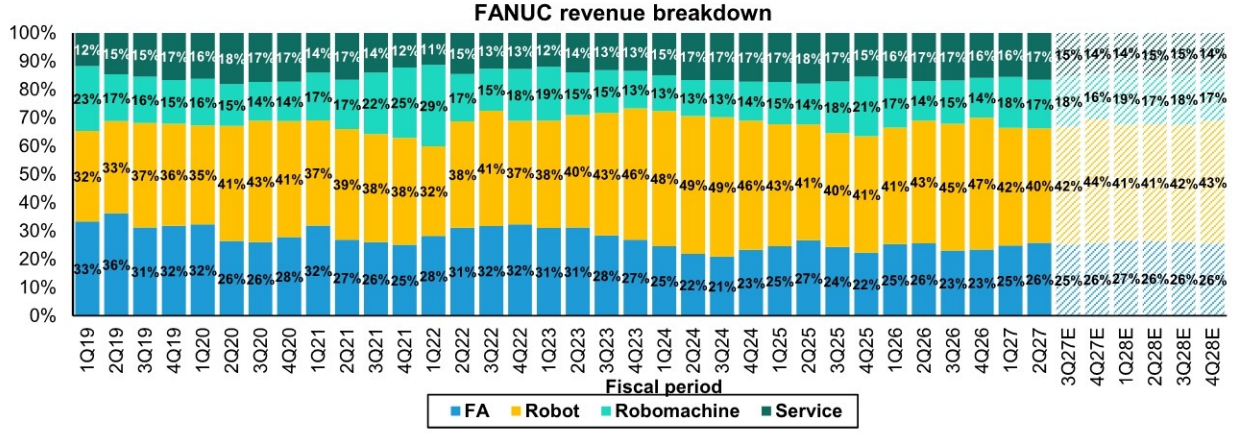

Note: Yaskawa is not covered by Bernstein
Source: Bloomberg, Bernstein analysis

EXHIBIT 16: **FANUC robot and CNC market share in China**



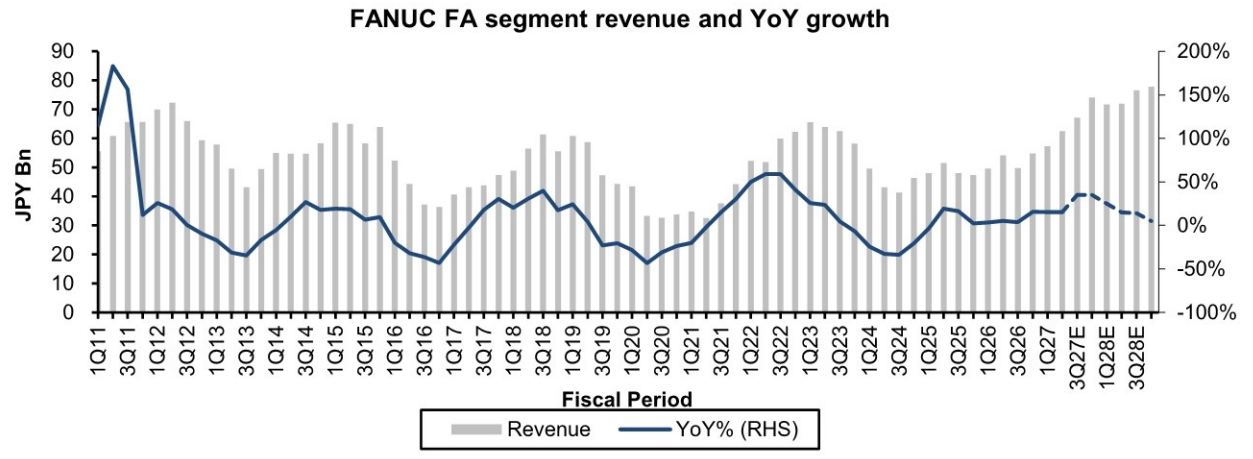

Note: Market shares of light 6-axis robot, heavy 6-axis robot, SCARA robot and DELTA robot are based on shipment volume and 2026Q3 data are not available yet. Market share of CNC is based on shipment value (latest available data 2026Q3). The figures are based on preliminary release from MIR Databank. Final revision may contain revisions, but we believe the key trends discussed here will hold.
Source: MIR Databank, Bernstein analysis

EXHIBIT 17: **FANUC revenue breakdown**



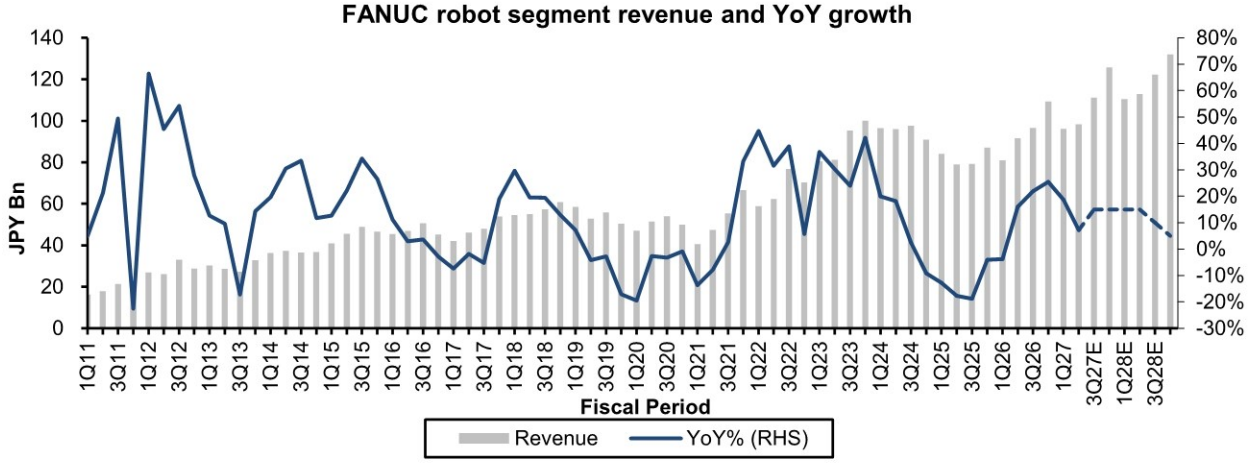

Source: company reports, Bernstein estimates and analysis

EXHIBIT 18: **FANUC FA segment**



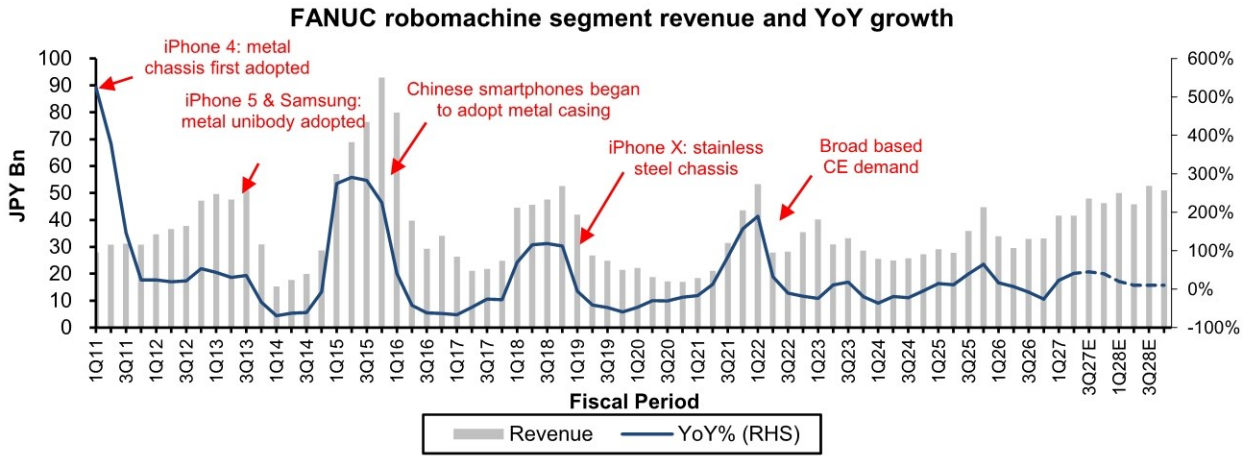

Source: company reports, Bernstein estimates and analysis

EXHIBIT 19: **FANUC robot segment**



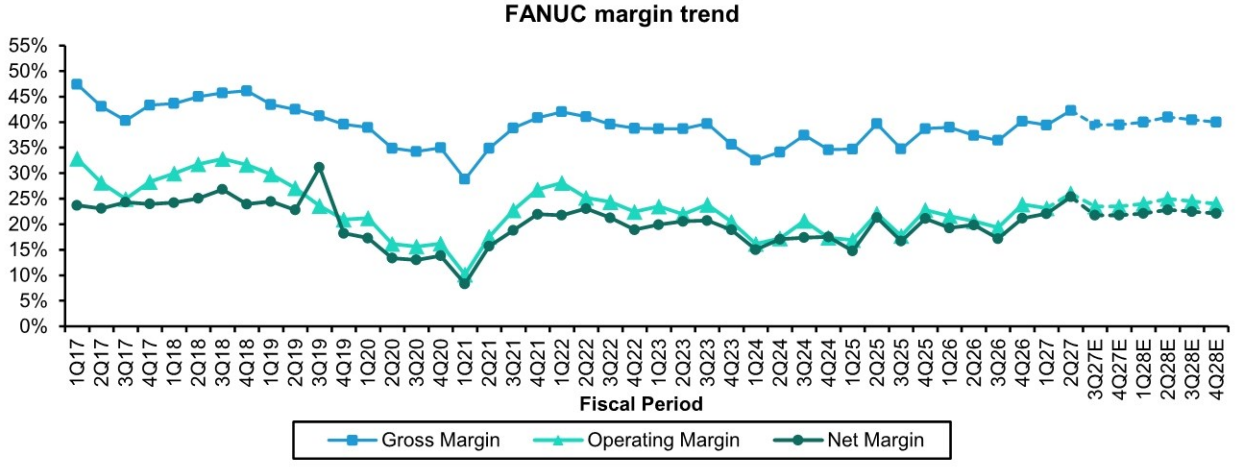

Source: company reports, Bernstein estimates and analysis

EXHIBIT 20: **FANUC robotmachine segment**




Source: company reports, Bernstein estimates and analysis

EXHIBIT 21: **FANUC margins trend**




Source: company reports, Bernstein estimates and analysis

EXHIBIT 22: **FANUC financial summary**

| *(JPY Million)* | 2022 | 2023 | 2024 | 2025 | 2026 | 2027E | 2028E | 2029E | 2030E |
|---|---|---|---|---|---|---|---|---|---|
| Revenue | 733,008 | 851,956 | 795,274 | 797,129 | 857,831 | 1,028,408 | 1,141,629 | 1,066,712 | 1,080,184 |
| Gross profit | 295,634 | 325,407 | 275,844 | 294,925 | 328,466 | 412,800 | 460,852 | 410,684 | 415,871 |
| Operating profit | 183,240 | 191,359 | 141,919 | 158,846 | 183,763 | 247,016 | 278,192 | 245,344 | 248,442 |
| Pre-tax profit | 212,917 | 230,103 | 181,755 | 196,738 | 227,485 | 313,139 | 347,632 | 310,227 | 314,145 |
| Attributable net income | 155,273 | 170,587 | 133,159 | 147,557 | 166,543 | 233,185 | 255,509 | 228,017 | 230,897 |
| EBITDA | 230,317 | 240,548 | 190,920 | 205,294 | 231,545 | 293,456 | 324,208 | 290,244 | 291,923 |
| EPS (Basic) (JPY) | 162 | 179 | 140 | 157 | 178 | 251 | 276 | 247 | 250 |
| EPS (Diluted) (JPY) | 162 | 179 | 140 | 157 | 178 | 251 | 276 | 247 | 250 |
| P/B (x) | 3.5 | 3.3 | 3.1 | 3.0 | 2.8 | 2.7 | 2.5 | 2.4 | 2.3 |
| P/E (x) | 34.5 | 31.3 | 39.8 | 35.5 | 31.3 | 22.2 | 20.2 | 22.7 | 22.4 |
| EV/IC (x) | 5.0 | 4.4 | 4.1 | 4.3 | 4.4 | 4.0 | 4.0 | 4.1 | 4.1 |
| EV/EBITDA (x) | 19.1 | 18.3 | 23.0 | 21.4 | 19.0 | 15.0 | 13.6 | 15.1 | 15.0 |
| ROIC (excl. investment) | 16.5% | 15.4% | 10.2% | 11.7% | 13.6% | 17.9% | 19.1% | 17.0% | 17.4% |
| ROE (excl. comprehensive incor | 10.6% | 10.9% | 8.1% | 8.8% | 9.4% | 12.4% | 12.9% | 10.9% | 10.6% |
| Gross margin | 40.3% | 38.2% | 34.7% | 37.0% | 38.3% | 40.1% | 40.4% | 38.5% | 38.5% |
| Operating profit margin | 25.0% | 22.5% | 17.8% | 19.9% | 21.4% | 24.0% | 24.4% | 23.0% | 23.0% |
| Net margin | 21.2% | 20.0% | 16.7% | 18.5% | 19.4% | 22.7% | 22.4% | 21.4% | 21.4% |
| EBITDA margin | 31.4% | 28.2% | 24.0% | 25.8% | 27.0% | 28.5% | 28.4% | 27.2% | 27.0% |
| Revenue growth | 33.0% | 16.2% | (6.7%) | 0.2% | 7.6% | 19.9% | 11.0% | (6.6%) | 1.3% |
| Operating profit growth | 62.9% | 4.4% | (25.8%) | 11.9% | 15.7% | 34.4% | 12.6% | (11.8%) | 1.3% |
| Net income growth | 65.2% | 9.9% | (21.9%) | 10.8% | 12.9% | 40.0% | 9.6% | (10.8%) | 1.3% |
| EBITDA growth | 46.1% | 4.4% | (20.6%) | 7.5% | 12.8% | 26.7% | 10.5% | (10.5%) | 0.6% |

Note: 5-for-1 split on 31 Mar 2023. Numbers adjusted from FY2022.
Source: Company reports, Bernstein estimates and analysis

# APPENDIX - FINANCIAL FORECASTS

## EXHIBIT 23: **Income Statement**

**Income Statement**

| JPY Million | 2022 | 2023 | 2024 | 2025 | 2026 | 2027E | 2028E | 2029E | 2030E |
|---|---|---|---|---|---|---|---|---|---|
| FA | 226,165 | 250,113 | 180,384 | 194,824 | 208,478 | 261,123 | 297,950 | 259,710 | 243,602 |
| Robot | 268,478 | 356,984 | 380,944 | 329,566 | 378,610 | 431,237 | 477,788 | 465,072 | 489,698 |
| Robomachine | 144,633 | 132,788 | 103,388 | 137,588 | 129,600 | 177,488 | 199,403 | 167,118 | 163,331 |
| Service | 93,732 | 112,071 | 130,558 | 135,151 | 141,143 | 158,560 | 166,488 | 174,812 | 183,553 |
| **Revenue** | **733,008** | **851,956** | **795,274** | **797,129** | **857,831** | **1,028,408** | **1,141,629** | **1,066,712** | **1,080,184** |
| Cost of Goods Sold | 437,374 | 526,549 | 519,430 | 502,204 | 529,365 | 615,607 | 680,776 | 656,028 | 664,313 |
| **Gross profit** | **295,634** | **325,407** | **275,844** | **294,925** | **328,466** | **412,800** | **460,852** | **410,684** | **415,871** |
| Selling General & Admin Exp. | 112,394 | 134,048 | 133,925 | 136,079 | 144,703 | 165,784 | 182,661 | 165,340 | 167,429 |
| **EBIT** | **183,240** | **191,359** | **141,919** | **158,846** | **183,763** | **247,016** | **278,192** | **245,344** | **248,442** |
| Net Finance income / (costs) | 3,192 | 5,761 | 6,822 | 9,472 | 10,907 | 13,742 | 12,558 | 11,734 | 11,882 |
| Other income / (costs) | 26,485 | 32,983 | 33,014 | 28,420 | 32,815 | 52,381 | 56,882 | 53,150 | 53,821 |
| **Profit before tax** | **212,917** | **230,103** | **181,755** | **196,738** | **227,485** | **313,139** | **347,632** | **310,227** | **314,145** |
| Income tax expense | 54,427 | 56,189 | 46,268 | 45,391 | 58,088 | 75,330 | 86,908 | 77,557 | 78,536 |
| Net Income | 158,490 | 173,914 | 135,487 | 151,347 | 169,397 | 237,810 | 260,724 | 232,670 | 235,609 |
| **Net Income attributable to equity holders** | **155,273** | **170,587** | **133,159** | **147,557** | **166,543** | **233,185** | **255,509** | **228,017** | **230,897** |
| Basic EPS (JPY) | 162 | 179 | 140 | 157 | 178 | 251 | 276 | 247 | 250 |
| Diluted EPS (JPY) | 162 | 179 | 140 | 157 | 178 | 251 | 276 | 247 | 250 |

Note: 5-for-1 split on 31 Mar 2023. Numbers adjusted from FY2022.

Source: Company reports, Bernstein estimates and analysis

## EXHIBIT 24: **Balance Sheet**

**Balance Sheet**

| JPY Million | 2022 | 2023 | 2024 | 2025 | 2026 | 2027E | 2028E | 2029E | 2030E |
|---|---|---|---|---|---|---|---|---|---|
| Cash | 574,655 | 476,953 | 526,881 | 502,091 | 615,075 | 518,687 | 572,657 | 643,326 | 671,984 |
| Receivables | 149,171 | 161,386 | 154,434 | 154,448 | 168,541 | 207,495 | 217,127 | 204,276 | 221,152 |
| Inventories | 249,564 | 350,577 | 362,546 | 306,439 | 292,186 | 366,355 | 380,193 | 366,632 | 396,922 |
| Other current assets | 192,696 | 37,249 | 36,306 | 34,396 | 58,228 | 40,800 | 40,800 | 40,800 | 40,800 |
| Fixed assets | 578,133 | 588,696 | 607,755 | 604,266 | 591,416 | 579,543 | 568,039 | 550,078 | 532,686 |
| Intangible assets | 8,933 | 10,855 | 9,823 | 8,800 | 8,542 | 8,498 | 8,498 | 8,498 | 8,498 |
| Long term investment | 135,709 | 159,500 | 184,434 | 192,214 | 223,287 | 267,532 | 322,564 | 375,580 | 427,186 |
| Other non-current assets | 46,243 | 52,745 | 47,760 | 45,964 | 30,429 | 23,878 | 23,878 | 23,878 | 23,878 |
| **Total assets** | **1,783,964** | **1,873,536** | **1,926,037** | **1,937,031** | **2,090,700** | **2,207,888** | **2,328,857** | **2,408,168** | **2,518,206** |
| | | | | | | | | | |
| Accounts payable | 49,473 | 56,935 | 42,938 | 37,454 | 46,262 | 57,426 | 59,595 | 57,469 | 62,217 |
| Other payables | 48,311 | 36,958 | 15,511 | 28,090 | 34,564 | 48,272 | 51,501 | 46,991 | 50,874 |
| Current debt | 79,818 | 90,062 | 98,441 | 92,042 | 98,631 | 105,963 | 105,963 | 105,963 | 105,963 |
| Total Non Current Liabilities | 56,483 | 62,026 | 49,947 | 39,555 | 28,296 | 28,232 | 28,668 | 28,095 | 28,814 |
| **Total liabilities** | **234,085** | **245,981** | **206,837** | **197,141** | **207,753** | **239,892** | **245,727** | **238,518** | **247,868** |
| | | | | | | | | | |
| Common Stock | 69,014 | 69,014 | 69,014 | 69,014 | 69,014 | 69,014 | 69,014 | 69,014 | 69,014 |
| Additional Paid in Capital | 96,082 | 96,265 | 95,995 | 95,995 | 95,995 | 95,995 | 95,995 | 95,995 | 95,995 |
| Retained Earnings | 1,441,559 | 1,515,662 | 1,540,398 | 1,585,779 | 1,621,450 | 1,735,299 | 1,845,219 | 1,927,086 | 2,023,062 |
| Treasury Stock at Cost | (105,950) | (130,206) | (143,573) | (173,859) | (137,802) | (187,430) | (187,430) | (187,430) | (187,430) |
| Accummulated Other Comprehensive Income | 35,104 | 64,641 | 143,722 | 147,616 | 216,214 | 233,980 | 233,980 | 233,980 | 233,980 |
| **Equity attributable to owners of the parent** | **1,535,809** | **1,615,376** | **1,705,556** | **1,724,545** | **1,864,871** | **1,946,858** | **2,056,778** | **2,138,645** | **2,234,621** |
| **Total Equity** | **1,549,879** | **1,627,555** | **1,719,200** | **1,739,890** | **1,882,947** | **1,967,996** | **2,083,129** | **2,169,650** | **2,270,338** |
| BVPS (JPY) | 1,601 | 1,692 | 1,803 | 1,848 | 1,998 | 2,105 | 2,224 | 2,312 | 2,416 |

Note: 5-for-1 split on 31 Mar 2023. Numbers adjusted from FY2022.

Source: Company reports, Bernstein estimates and analysis

## EXHIBIT 25: **Cash Flow Statement**

**Cash Flow Statement**

| JPY Million | 2022 | 2023 | 2024 | 2025 | 2026 | 2027E | 2028E | 2029E | 2030E |
|---|---|---|---|---|---|---|---|---|---|
| Profit Before Tax | 212,917 | 230,103 | 181,755 | 196,738 | 227,485 | 313,139 | 347,632 | 310,227 | 314,145 |
| Depreciation and amortization | 47,077 | 49,189 | 49,001 | 46,448 | 47,782 | 46,439 | 46,017 | 44,901 | 43,481 |
| Change in working capital | 74,670 | 83,774 | (35,142) | (59,923) | (40,030) | 87,260 | 18,072 | (19,777) | 38,536 |
| Other operating cashflow | (209,083) | (263,561) | (23,850) | 72,010 | 15,659 | (274,928) | (190,208) | (100,753) | (219,150) |
| **Net Cash flows from operating activities** | **125,581** | **99,505** | **171,764** | **255,273** | **250,896** | **171,910** | **221,512** | **234,598** | **177,012** |
| | | | | | | | | | |
| Cash paid to acquire fixed assets | (34,363) | (47,066) | (53,884) | (40,805) | (21,181) | (34,072) | (34,513) | (26,940) | (26,089) |
| Other investing cashflow | (19,566) | (30,932) | 40,321 | (93,279) | (35,256) | (91,161) | 12,125 | 9,734 | 11,936 |
| **Net cash flows used in investing activities** | **(53,929)** | **(77,998)** | **(13,563)** | **(134,084)** | **(56,437)** | **(125,234)** | **(22,388)** | **(17,206)** | **(14,153)** |
| | | | | | | | | | |
| Dividends paid | (86,799) | (96,485) | (90,096) | (83,133) | (94,459) | (119,111) | (145,590) | (146,150) | (134,921) |
| Other financing cashflow | (2,355) | (31,439) | (32,418) | (53,485) | (4,139) | (25,640) | 436 | (573) | 719 |
| **Net cash flows used in financing activities** | **(89,154)** | **(127,924)** | **(122,514)** | **(136,618)** | **(98,598)** | **(144,751)** | **(145,154)** | **(146,723)** | **(134,201)** |
| | | | | | | | | | |
| **Net (decrease)/increase in cash & equivalents** | **(3,264)** | **(97,702)** | **49,928** | **(24,790)** | **112,984** | **(96,388)** | **53,970** | **70,669** | **28,658** |
| **Cash & equivalents at beginning of period** | **577,919** | **574,655** | **476,953** | **526,881** | **502,091** | **615,075** | **518,687** | **572,657** | **643,326** |
| **Cash & equivalents at end of period** | **574,655** | **476,953** | **526,881** | **502,091** | **615,075** | **518,687** | **572,657** | **643,326** | **671,984** |
| | | | | | | | | | |
| **FCF** | **65,357** | **57,033** | **138,885** | **187,671** | **200,435** | **104,172** | **196,415** | **225,491** | **164,515** |
| **FCF margin** | **9%** | **7%** | **17%** | **24%** | **23%** | **10%** | **17%** | **21%** | **15%** |

Note: 5-for-1 split on 31 Mar 2023. Numbers adjusted from FY2022.

Source: Company reports, Berinstein estimates and analysis

## BERNSTEIN TICKER TABLE

| | | | 23 Oct 2026 | | TTM | | Reported EPS | | | Reported P/E (x) | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | Closing | Price | Rel. | | | | | | | |
| Ticker | Rating | Cur | Price | Target | Perf. | Cur | 2026A | 2027E | 2028E | 2026A | 2027E | 2028E |
| 6954.JP (Fanuc) | O | JPY | 5,587.00 | **7,000.00** | (6.9)% | JPY | 178.47 | **251.30** | **276.25** | 31.3 | 22.2 | 20.2 |
| *OLD* | | | | 7,200.00 | | | | 221.78 | 207.13 | | | |
| JPL | | | 2,572.49 | | | | | | | | | |

**PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD**

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

## I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein’s “affiliates” relate to both SG and AB and their respective affiliates.

### VALUATION METHODOLOGY

#### FANUC Corp

We use EV/EBITDA multiple as the primary valuation method. We set a JPY 7,000 target price using an EV/EBITDA multiple of 18.8x against our 1-year forward-looking EBITDA estimates (from the PT date) of JPY 298 billion. We set the target multiple referencing previous cycles but adjust for secular or competitive trends that we believe are moving multiples higher or lower across multiple cycles. We use DCF as reference for the company's long-term intrinsic value. As we move along the different stages of a cycle, the time-dependent target price may deviate from the DCF-implied value.

### RISKS

#### FANUC Corp

FANUC's end user markets are cyclical in nature. The risks are mainly associated with the global macro economy and currency. The downside risks include 1) delayed or weaker than expected global automation demand, 2) losing market share to competitors, and 3) appreciation of JPY.

### RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

### EQUITY RATINGS DEFINITIONS

#### Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

**Autonomous brand – common stocks**

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

**Autonomous brand – preferred stocks**

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

**AUTONOMOUS CREDIT RESEARCH**

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

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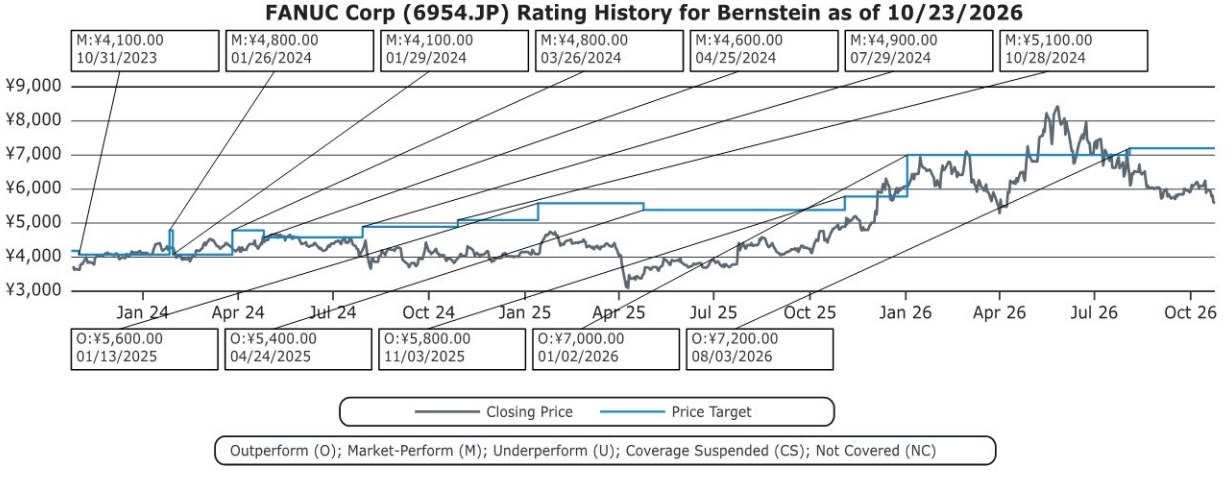
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